Deloitte Australia TCF Report Issue - A Case Study

1.0 Executive Summary

In December 2024, the Australian Department of Employment and Workplace Relations (DEWR) commissioned Deloitte Australia to review the Targeted Compliance Framework (TCF), which manages compliance with welfare recipients' mutual obligations.

Deloitte delivered its report in July 2025. However, errors were subsequently identified, including incorrect or non-existent academic citations and an incorrect summary of the Amato legal proceeding. Deloitte acknowledged that Generative AI was used in preparing parts of the report and that appropriate review and oversight processes were not followed.

This case study focuses on the failure of quality assurance and AI governance rather than the hallucination problem itself. Although GenAI likely contributed to the errors, we do not know exactly how each error was produced or which internal controls failed.

The incident resulted in corrections to the report, a request for repayment of the final contract instalment and reputational risk to Deloitte.

To mitigate similar incidents, we propose using automated verification tools to detect citation errors and human subject-matter experts to review information that requires professional judgement, such as legal interpretation. The key lesson is that GenAI can assist in preparing reports, but organisations remain responsible for verifying the accuracy of the final work.

2.0 Reason for Selecting This Case Study

We selected the Deloitte Australia incident for three main reasons.

First, the incident received wide media coverage, both in Australia and internationally, highlighting public concerns about the use of Generative AI in professional consulting work.

Second, the incident has potential reputational implications for Deloitte. Although the financial impact of the refund was relatively small, the potential damage to professional credibility and client trust could be more significant.

Finally, the most important reason is the AI governance issue. GenAI hallucination is a known problem, but the key question is how these errors passed through Deloitte's quality assurance and oversight processes before the report was delivered to the government client.

This makes the incident a useful case study for examining the GenAI governance principles discussed in the course, particularly operational risk management, accountability and oversight. The problem was not only inaccurate AI-generated content, but also the failure to detect it through appropriate quality assurance processes.

3.0 Background

Australia provides income support to eligible unemployed people, who may be required to fulfil certain mutual obligations, such as attending employment appointments or looking for work.

The Targeted Compliance Framework (TCF) manages compliance with these obligations. Failure to comply can result in penalties, including suspension or cancellation of welfare payments.

Concerns arose about whether the TCF's IT system and operational processes were correctly implementing government policy and legislation. Problems had already been identified that adversely affected welfare recipients.

Consequently, in December 2024, the Department of Employment and Workplace Relations (DEWR) commissioned Deloitte Australia to conduct an independent review of the TCF, assessing its legal and policy alignment, operational reliability, governance and assurance mechanisms. [1]

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[1] Correspondence Between Department of Finance and Deloitte foi-25-26-084-document-1.pdf

4.0 Incident Summary

The TCF Assurance Report dated 4 July 2025 was delivered to DEWR and subsequently released to the public. On 22 August 2025, the Australian Financial Review (AFR) reported concerns about incorrect or non-existent citations in the report.[2] Deloitte also wrote to DEWR on the same date, identifying citation errors and providing proposed corrections. [3]

Deloitte delivered a revised report dated 26 September 2025, correcting references and the summary of the Amato legal proceeding. Deloitte maintained that the findings and recommendations remained unchanged. On 14 October 2025, Deloitte's CEO apologised and acknowledged that appropriate review and oversight processes were not followed. DEWR had also requested repayment of the final contract instalment of A$97,587.11, and the refund was subsequently reported in the media. [4]

4.1 Incident Timeline

Date	Documented event
4 July 2025	Original Deloitte report dated; inaccurate citations and legal discussion appeared in the delivered version.
22 August 2025	Deloitte identified citation errors and supplied an annex mapping 11 affected footnote locations to replacement references.
2 September 2025	Deloitte wrote to the Department of Finance describing approved GenAI-assisted technical analysis and additional GenAI-assisted publishing tasks.
8–9 September 2025	DEWR challenged the adequacy of Deloitte's explanation and requested verification, clarification and repayment of the final instalment.
26 September 2025	Deloitte supplied revised documents, corrected citations and the Amato legal-case discussion; it maintained that recommendations were unchanged.
30 September 2025	DEWR requested a detailed mapping of approved and actually used AI tools and their tasks.
14 October 2025	Deloitte CEO apologised and acknowledged that appropriate review and oversight processes were not followed.

[2] Academics raise alarm over suspected AI use in Deloitte report
[3] TCF Assurance Review - correspondence between Deloitte and DEWR Page 2
[4] TCF Assurance Review - correspondence between Deloitte and DEWR Page 7, 9, 11

5.0 Nature of Inaccuracies

5.1 Inaccurate or Fabricated Citation

The book attributed to Lisa Burton Crawford, The Rule of Law and Administrative Justice in the Welfare State: A Study of Centrelink (Federation Press, 2021) was cited in many places in the report but the book cannot be found. It was corrected by Deloitte to reference a book chapter in Janina Boughey and Katie Miller (Eds.), The Automated State: Implications, Challenges and Opportunities for Public Law, (The Federation Press, 2021).[5]

Another citation from Lisa Burton Crawford, The Rule of Law and Administrative Discretion (Federation Press, 2021) was replaced by Deloitte with Janina Boughey and Lisa Burton Crawford (eds), Interpreting Executive Power, Sydney, Australia, (The Federation Press, 2020).[6] References to Carolyn Adams and Terry Carney were also corrected.[7]

Original Reference	Corrected Reference
Lisa Burton Crawford, The Rule of Law and Administrative Justice in the Welfare State: A Study of Centrelink (Federation Press, 2021)	Lyria Bennett Moses, Janina Boughey and Lisa Burton Crawford, 'Laws for Machines and Machine-made Laws'. In Janina Boughey and Katie Miller (Eds.), The Automated State: Implications, Challenges and Opportunities for Public Law, (The Federation Press, 2021) https://federationpress.com.au/product/the-automated-state/
Lisa Burton Crawford, The Rule of Law and Administrative Discretion (Federation Press, 2021)	Janina Boughey and Lisa Burton Crawford (eds), Interpreting Executive Power, Sydney, Australia, (The Federation Press, 2020). https://federationpress.com.au/product/interpreting-executive-power/

[5] TCF Assurance Review - correspondence between Deloitte and DEWR Page 4-5
[6] TCF Assurance Review - correspondence between Deloitte and DEWR Page 4-5
[7] TCF Assurance Review - correspondence between Deloitte and DEWR Page 4-5

Carolyn Adams, ‘Choice, Responsibility and the Regulation of Behaviour: Lessons from the Social Security System’ (2012) 35(2) University of New South Wales Law Journal	Cf Carolyn Adams, 'One office, three champions? Structural integration in the office of the Australian Information Commissioner', (2014) Australian journal of administrative law, vol. 21, pp. 77-97, https://researchers.mq.edu.au/en/publications/one-office-three-champions-structural-integration-in-the-office-o With the additional reference: Robert Baldwin & Julia Black, “Really Responsive Regulation,” Modern Law Review 71(1) (2008) 59–94. https://eprints.lse.ac.uk/22872/1/Baldwin_Black_Really-responsive-regulation_2008.pdf
Terry Carney, ‘Automating Compliance and Administrative Justice in Australia’s Welfare State’ (2024) 31(1) Journal of Social Security Law 32, 32–48	Terry Carney, 'Automation and conditionality: towards "virtual" social security?' Journal of Social Security Law (2024) 31(1).

Source: TCF Assurance Review - correspondence between Deloitte and DEWR Page 4-5

5.2 Legal Interpretation

During the correction process, Deloitte also confirmed that the summary of the Amato Federal Court proceeding contained errors. The original report incorrectly described the court's decision, while the revised report clarified that the proceeding was resolved through consent orders. [8]

Unlike citation errors, this is not simply a matter of checking whether a reference exists. It involves understanding the legal proceeding and correctly interpreting its outcome.

[8] TCF Assurance Review - correspondence between Deloitte and DEWR Page 8

6.0 Root Cause Analysis (RCA)

Deloitte acknowledged that Generative AI was used for summarising legal proceedings and completing or formatting citations.[9] GenAI likely contributed to the errors, although the exact process that produced each error is not known.

The immediate problem was the incorrect citations and inaccurate summary of the Amato legal proceeding. These errors may have originated from GenAI-generated content, but we cannot determine exactly how they were produced.

The more important issue is why these errors were not detected before the report was delivered to DEWR. Deloitte's CEO acknowledged in October 2025 that appropriate review and oversight processes were not followed.[10]

This suggests a failure in Deloitte's AI governance and quality assurance process. However, we do not have enough evidence to determine which internal controls failed, whether human verification was carried out, or why the errors were not identified earlier.

The incorrect citations could potentially have been detected using automated reference-verification tools. However, the incorrect summary of the Amato proceeding highlights the importance of human subject-matter expert review, particularly when legal interpretation is required.

Therefore, while GenAI likely contributed to the inaccuracies, the underlying governance issue was the failure to ensure that AI-assisted work was properly verified before delivery to the government client.

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[9] Correspondence Between Department of Finance and Deloitte foi-25-26-084-document-1.pdf Page 2
[10] TCF Assurance Review - correspondence between Deloitte and DEWR Page 11

7.0 Impact Analysis

7.1 Organisational Impact

DEWR requested repayment of the final contract installment of A$97,587.11.[11] Multiple media sources subsequently reported on the refund. [12] [13] [14]

The incident received media coverage beyond Australia. We can reasonably argue that the reputational risk may be more significant than the financial impact of the refund, particularly because Deloitte's business depends on professional credibility and client trust. However, the actual long-term reputational damage cannot be quantified from the available evidence.

7.2 Societal Impact

The TCF report concerns a government system that affects welfare recipients. Errors in such a report could potentially undermine public confidence in government-commissioned reviews and the quality of advice provided to government agencies.

However, there is no evidence from this incident that the GenAI-generated errors directly caused harm to welfare recipients.

7.3 Economic Impact

Apart from the repayment request, Deloitte would have needed resources to review and correct the report. This suggests additional costs associated with the incident, although the actual amount is not publicly established.

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[11] TCF Assurance Review - correspondence between Deloitte and DEWR Page 7
[12] Deloitte to partially refund Australian government for report with apparent AI-generated errors- CNA
[13] Deloitte to partially refund Australian government for report with apparent AI-generated errors - AP News
[14] Deloitte to pay money back to Albanese government after using AI in $440,000 report _ Australian politics _ The Guardian

The incident could also affect confidence in AI-assisted professional consulting services, but there is insufficient evidence to quantify any wider economic impact.

7.4 Environmental Impact

No direct environmental impact arising from this incident has been identified in the available evidence. Although GenAI systems consume computing resources, we do not have information about the computing resources used in preparing this report. Therefore, it would not be appropriate to attribute a measurable environmental impact to this incident.

8.0 Organisational Response and Resolution

Following media reports highlighting inaccuracies in the TCF report, Deloitte made corrections and issued a revised report on 26 September 2025.

The revised report was also subjected to review under the direction of Deloitte's Chief Risk Officer.[15] This provided an additional level of review to identify and correct inaccuracies in the report.

On 14 October 2025, Deloitte's CEO formally apologised to DEWR and acknowledged that appropriate review and oversight processes had not been followed.[16]

These actions addressed the identified errors in the report and demonstrated Deloitte's acknowledgement of the incident.

However, based on the publicly available information reviewed, we have not identified a detailed internal Root Cause Analysis (RCA) or a corrective action plan explaining how Deloitte intends to prevent similar incidents.

Therefore, while Deloitte took steps to correct the report, we cannot conclude that the underlying AI governance and quality assurance weaknesses have been fully resolved.

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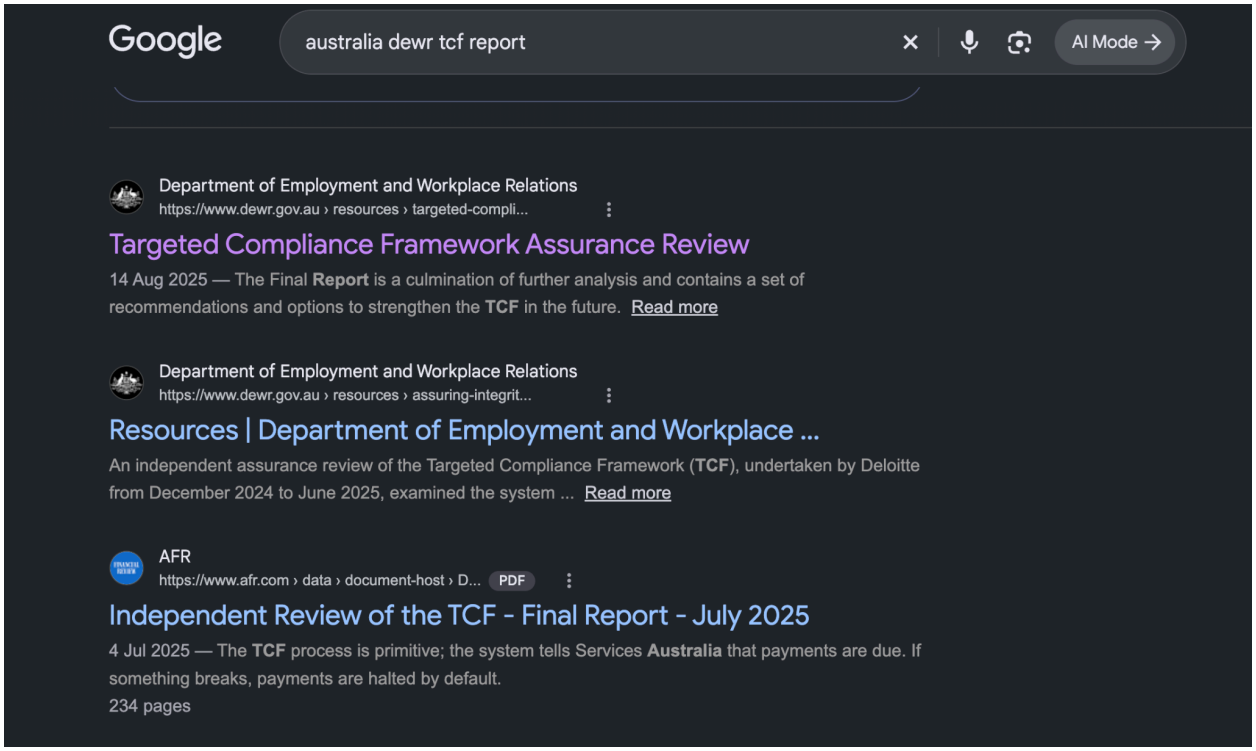
[15] TCF Assurance Review - correspondence between Deloitte and DEWR Page 8
[16] TCF Assurance Review - correspondence between Deloitte and DEWR Page 11

9.0 Proposed Mitigations

- Use an automated agent to check citations, including author names, titles and publication details. Citations that cannot be verified should be flagged for further review, rather than automatically treated as fabricated.
- Even if citations are properly researched, this does not prove that the citations are interpreted properly. To mitigate issues arising from interpretation of legal proceedings, an SME (Subject Matter Expert) should be included in the review process. A qualified reviewer should check and approve high-risk legal interpretations before the report is delivered. This is also known as the human-in-the-loop review process.
- In addition, organisations should establish clear responsibilities for reviewing and approving AI-assisted work. The use of GenAI should be properly disclosed to the client where required, and the final report should only be delivered after the necessary quality assurance checks have been completed.

Appendix A - Australia TCF Report: Source of Information

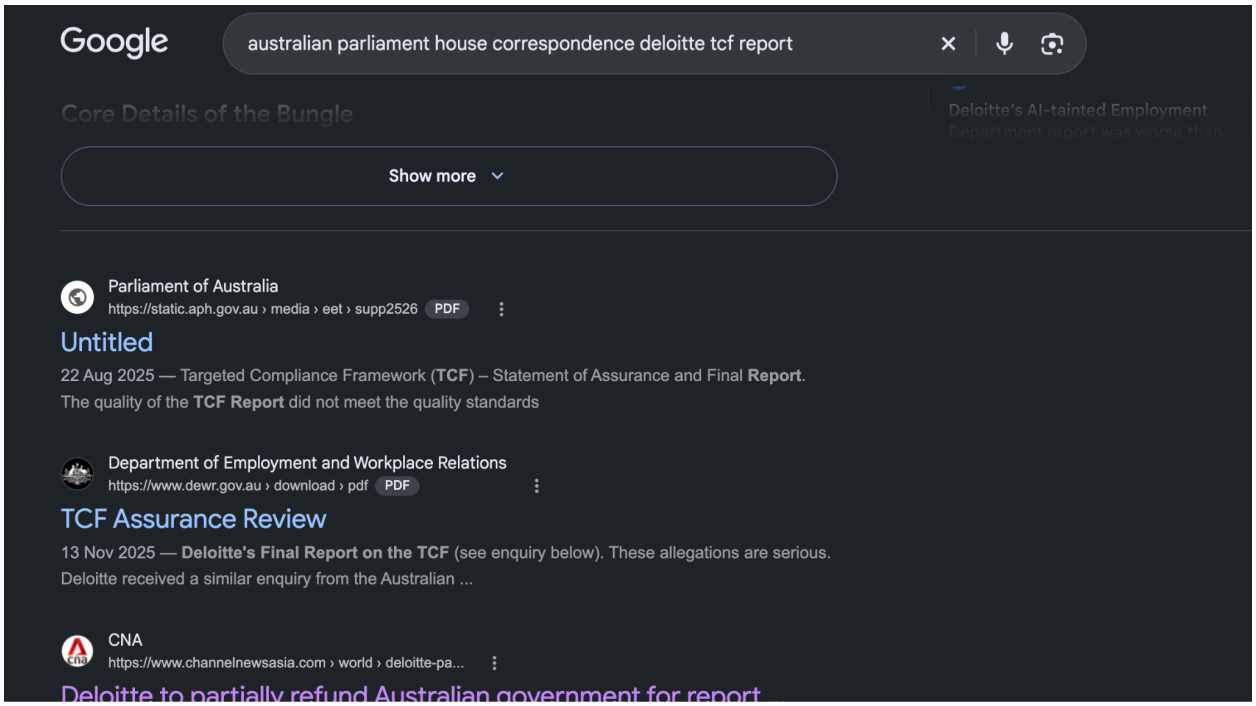
TCF Report



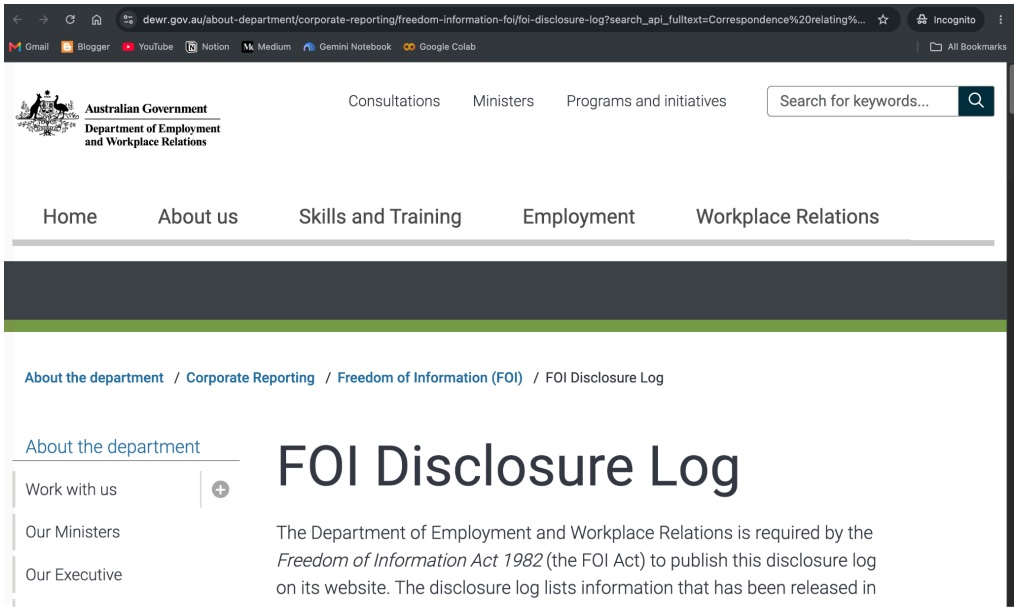
Targeted Compliance Framework Assurance Review (Revised)
https://www.dewr.gov.au/assuring-integrity-targeted-compliance-framework/resources/targeted-compliance-framework-assurance-review-final-report

Targeted Compliance Framework Assurance Review (Original)
https://www.afr.com/interactive/2025/data/document-host/DEWR%20TCF%20Independent%20Review%20-%202025%20-%20V1%20(1).pdf

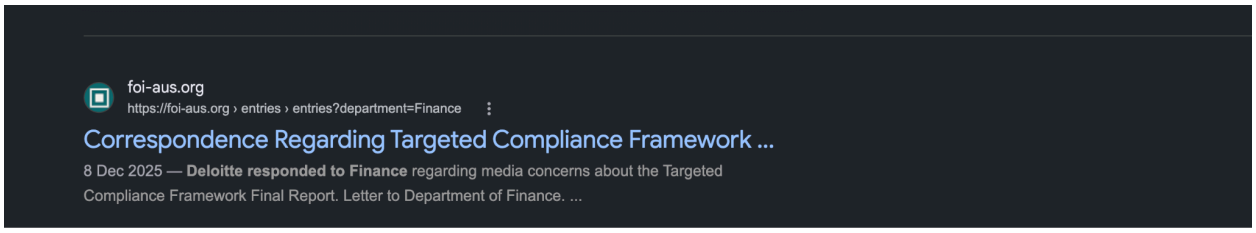
Correspondence



TCF Assurance Review - correspondence between Deloitte and DEWR
https://static.aph.gov.au/-/media/Estimates/eet/supp2526/TCF_Assurance_Review_-_correspondence_between_Deloitte_and_DEWR.pdf?rev=ff69cf1c875d4328bc51d88c1fe6ef7d&hash=C344D25B842A86FE9DDA7BAB9A580951

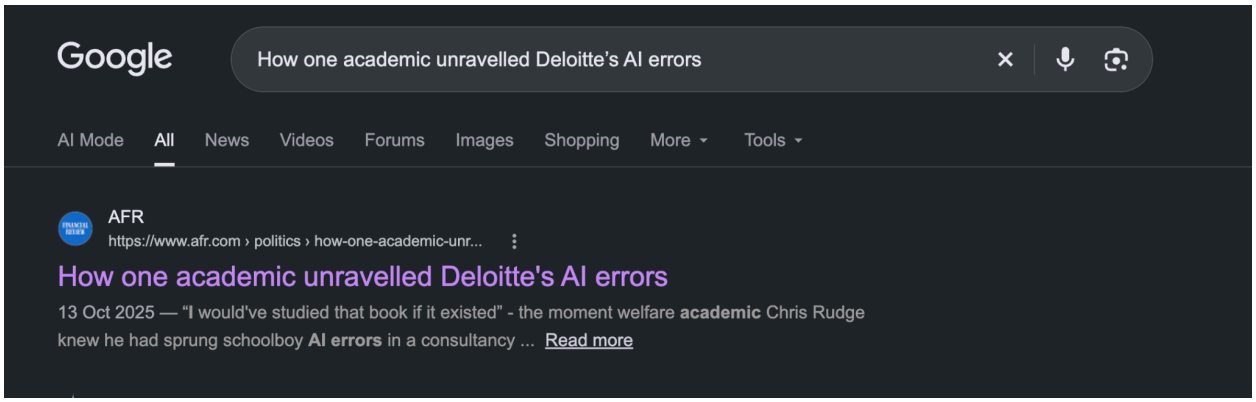


4 Separate release of correspondence between DEWR and Deloitte (heavily redacted)
https://www.dewr.gov.au/about-department/corporate-reporting/freedom-information-foi/foi-disclosure-log?search_api_fulltext=Correspondence%20relating%20to%20the%20Targeted%20Compliance%20Framework%20Assurance%20Review



Deloitte Correspondence to Department of Finance
https://foi-aus.org/entries/954?return_to=%2Fentries%3Fdepartment%3DFinance%26sort%3Ddate_released%26order%3Dasc%26page%3D1%26per_page%3D50

Media



Academics raise alarm over suspected AI use in Deloitte report - 22 Aug 2025
https://www.afr.com/companies/professional-services/academics-raise-alarm-over-suspected-ai-use-in-deloitte-report-20250822-p5mp0f

Deloitte report suspected of containing AI invented quote - 27 Aug 2025
https://www.afr.com/companies/professional-services/deloitte-report-suspected-of-ai-invented-quote-from-robo-debt-case-20250825-p5mpjj

How one academic unravelled Deloitte's AI errors - 13 Oct 2025
https://www.afr.com/politics/how-one-academic-unravelled-deloitte-s-ai-errors-20251013-p5n224

Deloitte caught in false claim it owned up to AI in tainted report - 11 Nov 2025
https://www.afr.com/politics/deloitte-caught-in-false-claim-it-owned-up-to-ai-in-tainted-report-20251111-p5n9di

Deloitte to partially refund Australian government for report with apparent AI-generated errors - 7 Oct 2025
https://www.channelnewsasia.com/world/deloitte-partially-refund-australia-government-report-apparent-ai-generated-errors-5387971

Deloitte to partially refund Australian government for report with apparent AI-generated errors - 7 Oct 2025
https://apnews.com/article/australia-ai-errors-deloitte-ab54858680ffc4ae6555b31c8fb987f3

Deloitte to pay money back to Albanese government after using AI in $440,000 report - 7 Oct 2025
https://www.theguardian.com/australia-news/2025/oct/06/deloitte-to-pay-money-back-to-albanese-government-after-using-ai-in-440000-report

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